1. Marketing

1.1. Marketing

- Marketing is the management process responsible for identifying, anticipating and satisfying consumers' requirements profitably.
- Marketing is the process of planning and undertaking the conception, pricing, promotion and distribution of goods and services to create and maintain relationships that will satisfy individual and organisational objectives.

1.2. Related Concepts

1. Markets
    1. Markets refer to any system or environment where buyers and sellers interact to exchange goods and services. This may or may not be a physical space and area.
    2. Online marketplaces like Amazon, etc, are also considered marketplaces.
2. Human needs and wants
    1. Needs are basic requirements that a person needs to survive. These include food, water, shelter, etc.
    2. Wants are items which are not necessary for survival but satisfy certain requirements. These include buying luxury cars, exotic vacations, etc.
3. Value and satisfaction
    1. Value is not equal to cheapness
    2. A product is considered of good value if it provides satisfaction to consumers and is of a reasonable price
    3. A business must aim to increase satisfaction and value of a product/service to maintain good long-term customer relations

1.3. Marketing Objectives and Corporate Objectives

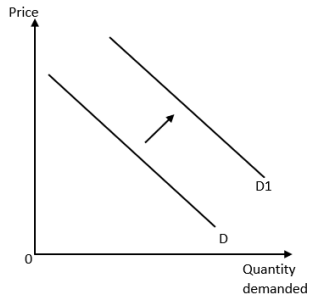
- Marketing objectives may include:
    - Increase market share
        - Increase the number of items purchased per customer visit
        - Increase brand loyalty
        - Increase the number of times a customer shops
        - Increase customer satisfaction
        - Brand identity
        - Increase new customers
    - To be successful, marketing objectives must be:
        - In line with the corporate and long-term goals of the business
        - Determined by senior managers
        - Must fit into the SMART criteria
- Importance of marketing objectives:
    - Provide a sense of direction
    - Allow progress to be monitored
    - Easily broken down into individual targets (motivation by objectives)
    - Form basis of marketing strategies

1.4. Coordination of Marketing with Other Departments

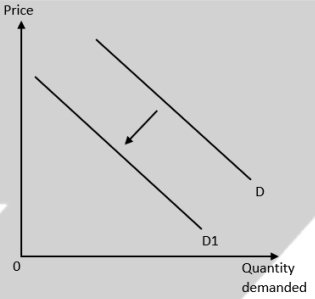
- The marketing department has a central role in coordinating the work of other departments
- Marketing and Finance: know the marketing budget and help make cash flow forecasts
- Marketing and HR: devise a workforce plan and help in the recruitment and selection of suitable employees
- Marketing and operations: new product development and plan for the spare capacity and raw materials needed in the future

1.5. Demand

- **Demand:** The quantity consumers are willing and able to buy at a given price in that specific time period



The figure shows a right shift in the demand curve. This shows a rise in demand, due to factors other than a fall in price. This is shown by a shift from D-D1.



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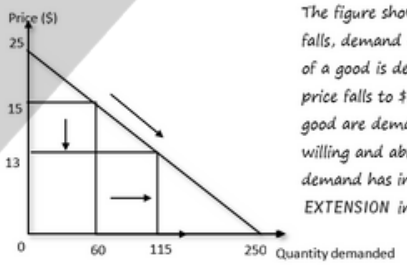
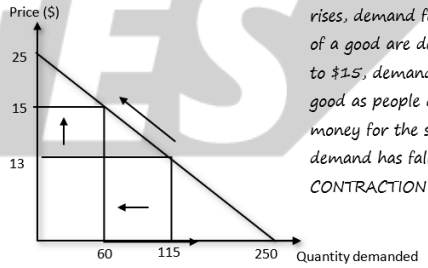
Movements in a demand curve



The figure shows a demand curve. As price falls, demand rises. At price $15, 60 units of a good is demanded. But, when this price falls to $13, 115 units of the same good are demanded as more people are willing and able to buy it. This shows demand has increased. This is known as EXTENSION in demand.



The figure shows a demand curve. As price rises, demand falls. At price $13, 115 units of a good are demanded. But, as price rises to $15, demand falls to 60 units the same good as people are less willing to spend more money for the same good. This shows demand has fallen. this is known as CONTRACTION in demand.

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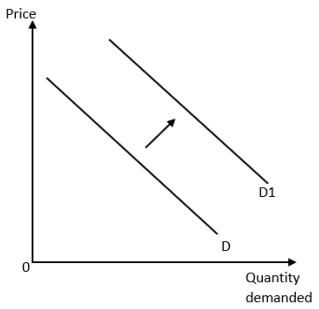

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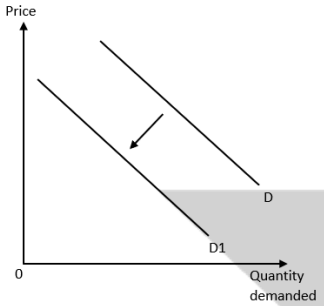

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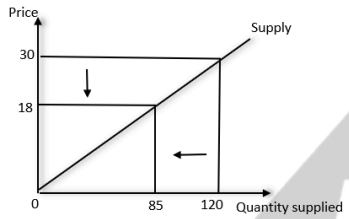
Factors affecting demand

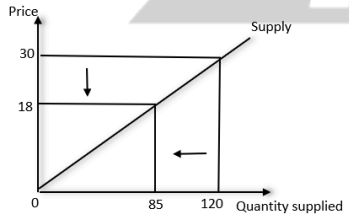
- Changes in consumer income
- Changes in prices of related goods
- Changes in age and population structure
- Fashion, tastes and attitudes
- Advertising and promotion

1.6. Supply

- Supply: The amount of a product that businesses are willing to offer at a specific price during a certain time period.



The figure shows a supply curve. As price falls, supply also falls. At price $30, 120 units of a good is supplied. But, when this price falls to $18, 85 units of the same good are supplied. This shows supply has decreased. This is known CONTRACTION as in supply.



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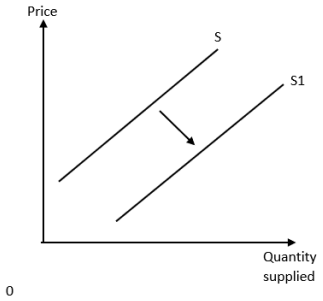

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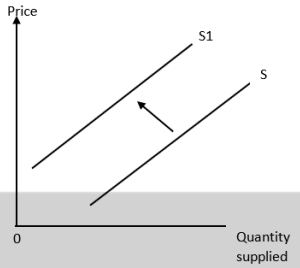


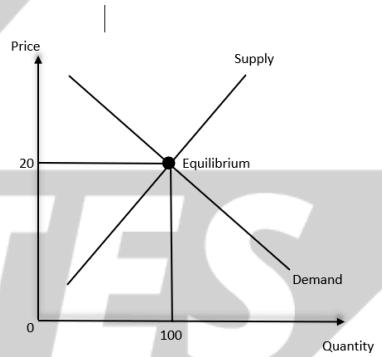
The figure shows a left shift in the supply curve. This shows a fall in supply, due to factors other than a fall in price. This is shown by a shift from S-S1.

Factors affecting supply

1. Costs
2. Taxes
3. Subsidies
4. Weather conditions
5. Advances in technology

1.7. Equilibrium

- It is the price level where demand = supply
- There is no shortage (demand higher than supply) or surplus (supply higher than demand)
- Disequilibrium is when demand is not equal to supply (there's either a surplus or shortage)



The figure shows the equilibrium price and demand. At $20, people are demanding 100 units of a good and producers are also supplying only 100 units. This shows, everything that is produced is sold, no shortage or surplus. Therefore, $20 is known as the equilibrium price level and 100 in known as the equilibrium quantity demand and supply.

1.8. Creating Value

1. Creating/adding value
    1. Added value is the difference between the selling price and the cost of bought in raw materials
    2. Higher the added value, higher the profits
    3. Added value can be increased by –
        1. Create an exclusive and luxurious retail environment
        2. High quality packaging
        3. Promote and brand the product
        4. Create a unique selling point (USP) and differentiate the product

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1.9. Mass marketing

Mass marketing is selling the same/standardised products to the whole market.

Advantages;

- Wider choice for customers.
- Economies of scale due to large customer base.
- Fewer risks.
- Lower average cost of production if their mass market strategies lead to high sale volume.

Disadvantages:

- Aim on low prices has conflict of interest as it would not produce a exquisite brand image.
- Lack of varieties of products or marketing might not attract many customers.
- Technological or other change might lead to fall in demand for such products, making it a risky strategy.

Niche Marketing:

Niche marketing is identifying and exploiting a small segment of a larger market.

Advantages:

- May survive as are producing customised products.
- Ability to charge high prices and increase profits.
- Improves brand image and loyalty.

Disadvantages:

Niche Disadvantages -

- Small markets don't allow for reducing costs by producing in large amounts.
- Growth is limited if the market has few customers.
- Relying on one market is risky if the market changes.
- Profitable markets may attract competitors, leading to lower prices and profits.

1.10. Market segmentation – identifying different consumer groups

- Businesses create consumer profiles which includes age groups, income levels, gender and social class. Successful market segmentation makes it essential for the business to have proper analysis of customers in the targeted market. Basically, a consumer profile which is a quantified picture of the business's consumers, showing data about their:
    1. Age group.
    2. Social class.
    3. Income levels.
    4. Gender.
    5. Location.
- Examples: Socioeconomic group contains:
    1. Higher managerial , administrative and professional personnel, for example directors of big companies and successful lawyers
    2. Managerial staff, including professionals such as teachers
    3. Supervisory, clerical or junior managerial staff
    4. Skilled manual workers
    5. Semi-skilled and unskilled manual workers
    6. Casual, part-time workers and the unemployed.
- Example: Different demographic group abbreviation:
    - DINKY: Double income no kids.
    - VALS: Values attitude and life-styles.
    - LOHAS: Lifestyles of health and sustainability.
    - OINKY: One income no kids yet.
    - Kippers: Kids in parent pockets eroding retirement savings.
- Advantages –
    - Easy to target marketing strategies to specific consumer groups
    - Enables identification of gaps in the market
    - Differentiated marketing strategies can be focused on target market groups
    - Price discrimination may be used to increase revenue and profits
    - Allows specialisation
- Disadvantages –
    - High research and development costs
    - High promotional costs
    - May not be able to enjoy marketing economies
    - High stock-holding and production costs
    - May lead to over-specialisation
    - Extensive market research may be needed

1.11. Local, National and International Market

Local Market:

Some businesses only sell to local customers in their area, such as roadside eatery, barbers, grocery shop and car repair shops. These businesses operate in a small, local market.

National Market:

Some firm expand and sell across the whole country, reaching more customers and raising revenue. Fewer businesses do this compared to those that stay local. Examples include national grocery chains, large clothing stores, and regional banks.

International Market:

The biggest opportunities are in international markets, where businesses sell in many countries. Expanding internationally is a major decision because it requires adjusting to different cultures, tastes, and laws in each country.

1.12. Consumer Marketing (B2C):

Goods and services sold to end users.

They are classified as:

- Convenience products bought repeatedly, usually on impulses that is sold to mass market. E.G. Chips.
- Shopping items which necessitates some knowledge and planning before purchase. E.G. Electric Oven.
- Specialty items which are purchased on certain occasions and might be equipped with powerful sturdy brand loyalty justifying high price tag. E.G. Motorbike.

Industrial Marketing (B2B):

Goods or services sold to other businesses.

They are classified as:

- Materials and components required for production to take place. E.G. Engine for a car.
- Capital equipment, machinery and mean of transport such as truck.
- Services and supplies to other businesses.

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Difference Between Consumer and Industrial Marketing:

- It targets individuals or households who buy products for personal use. Industrial marketing targets businesses or organizations that buy products or services for usage in their operations.
- The buying process is often quicker and based on impulses, brand loyalty or accessibility. However, the process in B2B is longer and more complex, involving multiple people, research, and careful consideration.
- End users normally buy in smaller quantities and inexpensive items where selling to other businesses often leads to larger quantities purchase of higher-value items.
- B2C focuses on broad advertising, promotions, and social media to reach a large audience. B2B focuses on building relationships, direct sales, and personalized communication to convince businesses to buy.
- Products are usually standardized, thus usually found in the mass market, whereas products may be customized to meet the specific needs of a business client, which is found in the niche market.

1.13. Market Orientation:

An outward-looking approach that makes product decision on consumer demand, learned via market research.

Benefits:

- Products match customers' needs properly, leading to happy and loyal customers.
- It helps companies easily adjust to changing market trends due to doing extensive market research.
- Better understanding of customers helps stand out from competitors.

Limitations:

- Market research is expensive and time-consuming due to collecting customer feedback.
- Extensive market research can also delay product development.
- By focusing on current needs, a firm can overlook new opportunities or chance to be innovative.

Product Orientation:

An inward-looking approach which focuses solely on developing a superior/innovative product that can be made. Firms will try to sell them, hoping the innovation will attract customers.

Benefits:

- It primarily focuses on creating cutting-edge/innovative products, allowing firms to use price skimming as well as have successful launches.
- Focus on perfecting the product, causing it to be high quality.
- Can set industry standards with superior products.

Limitations:

- It might lead to products made that don't meet customer expectations, consequently causing business experience low sales
- There can be a risk of the product not fitting market demand.
- It can be slow to adapt to changes in the market or customer preferences as it's focused on product, thus being inflexible.

1.14. Market Size:

The total value/quantity of sales of all the firms within a market in a given time period.

There are two ways to measure the size of market to understand how successful the firm is:

1. Market Share.
2. Market Growth

Market Growth:

Percentage of change in total size of of the market over a time period.

Depending factors that determine rate of market growth:

- Rate of nation's economic growth.
- Change in consumer income, taste, fashion and attitude.
- Establishment of new markets and products that decreases revenue of existing markets and products.
- Technological changes
- If market is saturated with majority of customers owning that market's product.

What will happen with rise in the rate of market growth?

- Sales will grow if the business keeps the same share of the market.
- The business, now can justify raising prices and make more profit per item.
- More sales could also help lower costs, saving budget for other areas of improvement.
- More companies might enter the market seeing the profitability, leading to more competition.

What will happen with fall in the rate of market growth?

- Sales will grow more slowly, even if the business keeps its market share.
- Competitors might lower their prices to increase sales in a market that isn't growing much or is shrinking.
- Lower prices likely will lead to less profit per item.
- Businesses might look at expanding into markets that are growing faster, like in other countries.

Market growth could be measured in two ways:

1. Volume, showing the difference in sales via percentage.
2. Value, showing difference in revenue via percentage.

Market share:

It is the percentage of the total market sales the business earns relative to its competitors.

Formula:

Market Share Calculation

The formula to calculate market share is:

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Market Share (%) = (Revenue of Business in a given t
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What is a brand leader?

The brand that owns the highest share of the market.

Consequences of rise in market share:

- Sales are growing faster than those of other businesses in the same market, which could lead to higher profits.
- Retailers will want to stock and promote the best-selling brands. These brands might get the best spots in stores.
- The business that makes the top-selling brand might be able to offer a smaller discount to retailers (for example, 10% instead of 15%), less than what smaller brands offer. This, combined with higher sales, should lead to more profit for the leading brand's producer.
- Being the market leader can be highlighted in advertising and promotions. Consumers often want to buy the most popular brands.

Consequences of fall in market share:

- Sales are likely to fall unless there is rapid market growth.
- Retailers will be less keen to stock and promote the product.

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- Larger discounts to retailers might have to be offered.
- The product may no longer be a brand leader, so promotions will not be able to state this.

1.15. Customer Relation Marketing (CRM):

Usage of marketing activities to create and build good customer relationships so that the loyalty of existing customers must be maintained.

Costs of CRM:

- What it costs to have effective IT systems and software are needed and employees need to be trained to respond to customer feedback.
- Effective CRM campaigns may require the use of an external marketing consultancy at high cost.
- CRM needs an existing customer base to be established first before investing in CRM. If this is not done, the costs will not lead to higher sales.
- It may be costly to respond to each customer's feedback, especially if it contains special requests or requirements.

Benefits of CRM:

- For businesses with an existing customer base, CRM has proved to be cost-effective. Higher sales from effective CRM nearly always exceed its cost.
- It is a sustainable strategy creating long- term customers unlike 'special price offers' or similar promotions.
- Loyal customers often recommend the business to friends and family, providing additional marketing benefit at no cost.
- It costs less per customer than trying to attract new customers.

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